

When Buffett announced during a CNBC interview in October 2011 that Berkshire Hathaway had been purchasing shares of IBM, I am sure more than a few Berkshire shareholders were scratching their heads. After all, this was the man who had repeatedly confessed that he was not interested in buying technology companies. “I could spend all my time thinking about technology for the next year and still not be the 100th, 1,000th or even the 10,000th smartest guy in the country in analyzing those businesses,” he once said.⁴⁶

What prevented Buffett from buying technology companies was not that he didn’t understand these companies; he understood them all too well. What had always troubled him was the difficulty of predicting their future cash flows. The constant disruption and innovation that is inherent in the industry made the life spans of technology franchises very short. Buffett could see a future that included Coca-Cola, Wells Fargo, American Express, Johnson & Johnson, Procter & Gamble, Kraft Foods, and Wal-Mart, and think confidently. A future that included Microsoft, Cisco, Oracle, Intel, and—so we thought—IBM was just too unpredictable.

But by year-end 2011, Berkshire Hathaway had purchased 63.9 million shares of IBM, about 5.4 percent of the company. It was a bold \$10.8 billion purchase, the single biggest purchase of an individual stock Buffett had ever made.

Tenet: Rationality

When Buffett introduced the IBM purchase to Berkshire shareholders in the 2011 annual report, many might have thought they would be getting a crash course on the competitive advantages of IBM’s advance information processing technology. But what they got instead was a tutorial on the value of common stock repurchases and how to think intelligently about this corporate strategy over the long term.

Buffett began, “All business observers know, CEOs Lou Gerstner and Sam Palmisano did a super job in moving IBM from near-bankruptcy twenty years ago to its prominence today. Their operational accomplishments were truly extraordinary.”⁴⁷ It is hard to imagine that 20 years ago, the hundred-year-old IBM was near collapse. But in 1992, the